

So, once you are interested in an industry, you could straight away go to market leaders and then investigate why they are leaders. Then you can try to find out if other competitors can overcome the edge of the market leader.

Gaining market share

Another sign of the competitive advantage of a company would be a company consistently gaining market share. A company might start gaining market share because of alliances with companies producing complementary goods. If a company gets acquired by a cash-rich entity, it might find it easier to compete with lower prices.

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Margins increasing over and above the industry

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- EBITDA margins
- gross profit margins
- net profit margins
- pre-tax margins
- post-tax margins
- EBIT margins
- returns on sales
- contribution margins
- operating income margins

various other metrics to understand which company has the best margins or best improvements in margins all over the industry.